Employment Contract and Hire Pack

The written statement of employment particulars that meets the day-one requirement, and the checklist that goes with it.

Read this before you use this document

This is a working template. It has been drafted carefully and checked against the sources listed at the end, but it is **not legal advice and it has not been settled by a solicitor**. Have it reviewed by a solicitor, or by the Institute of Certified Bookkeepers, before you issue it to anybody. And it cannot be used to take on a bookkeeping client until Klyara's AML supervision is in place — an ICB Practice Licence includes AML supervision and takes about 28 days to process. Until that licence is granted, Klyara cannot lawfully carry on bookkeeping by way of business.

WHAT IS IN THIS PACK

Two things. **Part 1** is the hire checklist — the four things that must be done before anybody gets paid, in the order the law expects them. **Part 2** is the written statement of employment particulars itself, which by law has to be given on the **first day of employment**.

Employees and workers, not just employees

The day-one written statement is owed to **employees and workers**. If you take somebody on casually, on an as-and-when basis, they are very likely a worker and they are very likely entitled to this document. The safest habit is to issue it to everybody.

Use this pack when

- ☐ Klyara takes on its first employee
- ☐ Someone casual becomes regular
- ☐ A client asks how to hire properly
- ☐ An existing arrangement needs putting right

TIMELINE

Hiring, in the order the law expects it

BEFORE DAY 1 — **Right-to-work check**
Original documents, a share code, or a certified identity provider. Before the first day, without exception.

BEFORE PAYDAY — **Register as an employer**
With HMRC. You cannot register more than two months before you start paying people.

DAY ONE — **Written statement of particulars**
The principal statement, in a single document, on the first day of employment. Employees and workers both.

DAY ONE — **Employers' liability insurance**
£5 million minimum cover, with the certificate where staff can see it.

WITHIN 2 MONTHS — **The wider statement**
Pensions, collective agreements, non-compulsory training, disciplinary and grievance procedures.

WITHIN 5 MONTHS — **Declaration of compliance**
To The Pensions Regulator, counted from your auto-enrolment duties start date.

The order the law expects. Two of these have a penalty attached to being late.

VERIFIED ON GOV.UK

The figures the law fixes

Employers' liability insurance, minimum cover	£5,000,000
Penalty for every day uninsured	£2,500
Penalty for not showing the certificate	£1,000
Auto-enrolment, total minimum contribution	8%
Of which the employer must pay at least	3%
Qualifying earnings band	£6,240-£50,270
Auto-enrolment age range	22 to SPA
Auto-enrolment earnings trigger	£10,000
Statutory paid holiday, five-day week	28 days

The figures the law fixes. Every one checked on gov.uk on Wednesday 26 August 2026.

Part 1 — The hire checklist



Four things, and none of them can wait until after the first payday.

1 — Register as an employer with HMRC

☐	Register before the first payday	You cannot register more than two months before you start paying people
☐	Get the PAYE reference and Accounts Office reference	Both come by post
☐	Set up the payroll software or hand it to Klyara	RTI is filed on or before every payday
☐	Decide the pay frequency and the pay date	Weekly, fortnightly, four-weekly or monthly
☐	Check whether Employment Allowance applies	It reduces the employer's National Insurance bill

2 — Employers' liability insurance

> **£5 million, and £2,500 for every day you have not got it**
>
> Employers' liability insurance must cover you for at least **£5 million**. The penalty for not being properly insured is **£2,500 for every day**. The certificate has to be somewhere your staff can see it — the workplace, the website or the intranet — and not displaying it, or not producing it for an inspector, is a further **£1,000**.

- ☐ Policy in place before the first day
- ☐ Certificate displayed where staff can see it
- ☐ Cover at least £5 million
- ☐ Renewal date diarised

You do not need it if the only people you employ are close family — spouse, parents, grandparents, step-relations, siblings or half-siblings — or if they are based outside England, Scotland and Wales. **Check this rather than assuming it**, because it is narrower than most people think.

3 — Right to work

Check before employment starts, for everybody, without exception and without picking and choosing who gets checked. There are three lawful ways to do it.

METHOD	HOW IT WORKS	WHEN TO USE IT
Original documents	See the original, check it against the person, take a dated copy	British and Irish passport holders
Home Office online check	They give you a share code, you check it online	Anyone with a digital immigration status
Certified identity provider	An IDSP using identity document validation technology	British and Irish citizens, remotely

☐	Check done before the first day	A check done afterwards gives you no statutory excuse
☐	Copy taken and the date of the check recorded	The date is as important as the copy
☐	Follow-up check diarised if the right to work is time-limited	Before it expires
☐	Copy kept for the employment plus two years	Then destroyed

Up to £60,000, per worker

The civil penalty for employing somebody who does not have the right to work is up to **£60,000 for each worker**. Knowingly employing somebody, or having reasonable cause to believe they cannot work, is a criminal offence carrying up to **five years' imprisonment and an unlimited fine**. A correct check done before they start is a statutory excuse against the civil penalty.

4 — Pension auto-enrolment

Your duties start on the day your first member of staff begins work. That is your **duties start date** and everything counts from it.

WHO MUST BE ENROLLED	THE TEST
Age	22 or over, and under State Pension age
Earnings	£10,000 a year or more
Where they work	In the UK

CONTRIBUTIONS	MINIMUM
Total minimum contribution	8% of qualifying earnings
Employer must pay at least	3%
Employee makes up the rest	5%, including tax relief
Qualifying earnings band	£6,240 to £50,270 a year

☐	A qualifying pension scheme chosen	Nest, The People's Pension, Smart Pension or similar
☐	Staff assessed on the duties start date	And on every payday afterwards
☐	Eligible staff enrolled and written to	Within six weeks of them becoming eligible
☐	Declaration of compliance filed	Within five months of the duties start date
☐	Re-enrolment diarised	Every three years

The declaration is a separate legal duty and it is the one people forget

Enrolling everybody correctly is not enough. You must also tell The Pensions Regulator you have done it, **within five months of your duties start date**, and you can be fined if you do not. Diary it on the day you take on your first employee.

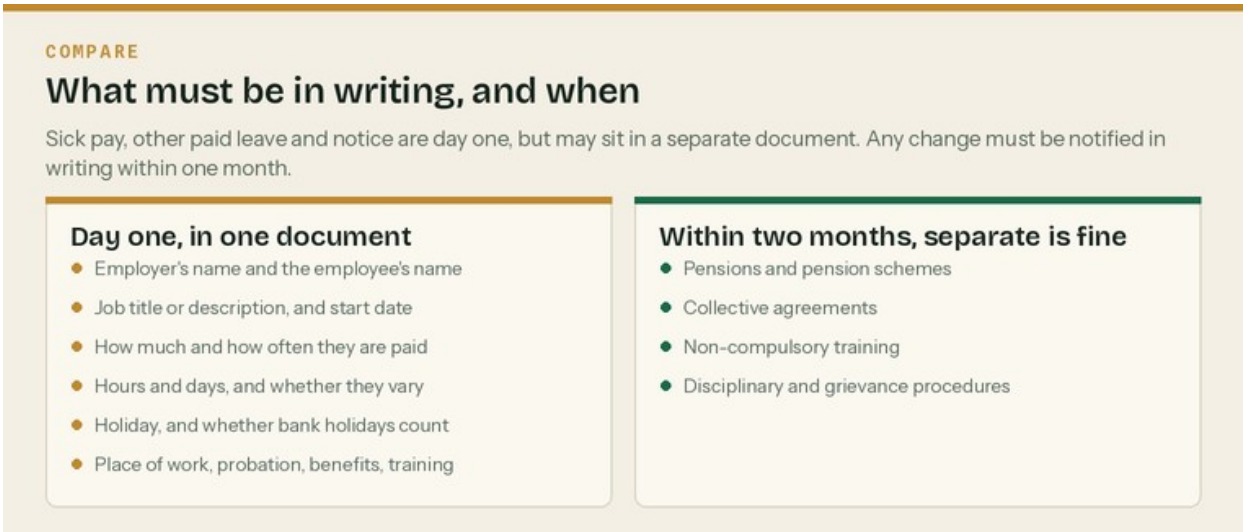
Before the first day — the full list

☐	Offer letter sent and accepted	☐	Right-to-work check done and copied
☐	Registered as an employer with HMRC	☐	Employers' liability insurance in place
☐	Certificate displayed	☐	Pension scheme chosen
☐	Payroll set up with the pay date	☐	P45 or new starter checklist obtained
☐	Written statement ready for day one	☐	Somebody briefed to meet them

Part 2 — Written statement of employment particulars

This must be given on the first day of employment

Not within two months, not when it is convenient. **The principal statement is a day-one document** and it has to be in a single document. A separate, wider statement — pensions, collective agreements, non-compulsory training, disciplinary and grievance procedures — can follow within two months. Any change to any of it must be notified in writing within **one month** of the change.



What goes in the day-one document, and what can wait two months.

The principal statement

Complete every line. A blank line is a missing particular and a missing particular is a claim.

1 — The parties

Employer's name	*Klyara*
Employer's address	
Employee's name	
Employee's address	

2 — The job

Job title	
Or a description of the work	*if there is no single title*
Start date of employment	
Date continuous employment began	*the same date, unless earlier service counts*
Is this a fixed-term job?	*yes or no*
If fixed term, how long it is expected to last, and the end date	

3 — Pay

Rate of pay	*£ per year, per hour, or per week*
How it is calculated	*salary, hourly rate, piece rate*
How often it is paid	*weekly, fortnightly, four-weekly, monthly*
Pay date	
Method of payment	*bank transfer*
Any bonus or commission, and how it works	

4 — Hours and days

Normal hours of work	*per week*
The days of the week required to work	
Are the hours or days variable?	*yes or no*
If variable, how they vary and how they are decided	
Overtime — is it required, and how is it paid?	

5 — Holiday

Holiday entitlement	*days or weeks a year*
Does that include bank holidays?	*yes or no*
Holiday year runs from	
How holiday pay is calculated	
What happens to accrued holiday on leaving	

The statutory minimum is **5.6 weeks a year**, which is **28 days** for somebody working five days a week. Bank holidays do not have to be given as paid leave, but they can count towards the 5.6 weeks if you say so. Statutory entitlement is capped at 28 days however many days a week somebody works.

6 — Place of work

Place of work	
Or, if there is more than one, the places and the employer's address	
Will they be required to work outside the UK for more than a month?	*yes or no*
If so, for how long, in what currency, and what the terms of return are	

7 — Probation

Is there a probationary period?	*yes or no*
How long is it?	
What are its conditions?	*what is being assessed, and what happens at the end*
Notice during probation	

8 — Benefits and training

Other benefits	*vehicle, tools, phone, lunch, childcare*
Training the employee must do	*and whether the employer pays for it*
Any training the employer requires but does not pay for	

9 — Sick pay, other leave and notice

These are day-one particulars, but they may be set out in a separate document referred to here rather than in the principal statement itself.

Sick pay entitlement and the procedure for reporting sickness	
Other paid leave — maternity, paternity, adoption, shared parental, bereavement	
Notice the employee must give	
Notice the employer must give	

STATUTORY MINIMUM NOTICE	THE EMPLOYER MUST GIVE	THE EMPLOYEE MUST GIVE
One month to two years' service	One week	One week
Two to twelve years' service	One week for each complete year	One week
Twelve years or more	Twelve weeks	One week

These are minimums. A contract can give more, and often should. It cannot give less.

The wider statement — within two months

These can be in the same document or in a separate one, provided they are given within two months of the start of employment.

☐	Pensions and pension schemes	Including the auto-enrolment position
☐	Any collective agreements that affect the terms	State if there are none
☐	Training the employer provides that is not compulsory	Or state there is none
☐	Disciplinary rules and procedure	Or where to find them

☐	Grievance procedure	Or where to find them
☐	Who to appeal to, and how	Name the role, not the person

Other terms worth writing down

Not required by the day-one statement, but standard in a construction back office and much easier to agree at the start than later.

☐	Confidentiality	☐	Data protection and acceptable use
☐	Client confidentiality and AML duties	☐	Return of property on leaving
☐	Deductions from pay, where lawfully agreed	☐	Lay-off and short-time working, if relevant
☐	Health and safety responsibilities	☐	Company vehicle and driving licence checks

> **Anything you write here becomes a contractual term**
>
> That is the point of it, and it is also the risk. A generous sick pay scheme written into a statement is a contractual entitlement you cannot then withdraw. Decide what you actually mean before you write it, and have a solicitor read the finished statement before the first one is issued.

Signing

The employee does not have to sign a written statement for it to be valid — it is a statement of particulars, not a contract by itself. Getting a signature is still worth doing, because it records that it was given on the first day.

Signatures

THE EMPLOYEE	[NAME]
SIGNED	PRINT NAME
POSITION	DATE

KLYARA	[NAME], FOR KLYARA
SIGNED	PRINT NAME
POSITION	DATE

Date the principal statement was given	*must be the first day of employment*
Date the wider statement was given	*within two months*
Given by	

Sources

Every figure and deadline in this document was checked against the page listed beside it on **Wednesday 26 August 2026**. Re-check before each use — thresholds and penalties change.

WHAT WAS CHECKED	SOURCE
Written statement of particulars — contents, day one, two months, one month for changes	https://www.gov.uk/employment-contracts-and-conditions/written-statement-of-employment-particulars
Employers' liability insurance — £5m, £2,500 a day, £1,000 certificate, exemptions	https://www.gov.uk/employers-liability-insurance
Displaying the certificate	https://www.gov.uk/employers-liability-insurance/certificates-and-records
Registering as an employer before the first payday, and the two-month limit	https://www.gov.uk/register-employer

Auto-enrolment — 22 to State Pension age, £10,000 trigger, duties start date	https://www.gov.uk/workplace-pensions-employers
Contributions — 8% total, 3% employer minimum, £6,240 to £50,270 band	https://www.gov.uk/workplace-pensions/what-you-your-employer-and-the-government-pay
Declaration of compliance within five months of the duties start date	https://www.thepensionsregulator.gov.uk/en/employers/new-employers/im-an-employer-who-has-to-provide-a-pension/declare-your-compliance
Holiday — 5.6 weeks, 28 days cap, bank holidays not automatically included	https://www.gov.uk/holiday-entitlement-rights
Statutory notice periods by length of service	https://www.gov.uk/redundancy-your-rights/notice-periods
Employee's statutory minimum notice of one week after one month	https://www.gov.uk/handing-in-your-notice/giving-notice
Right-to-work checks: three methods, before employment, 2-year retention	https://www.gov.uk/check-job-applicant-right-to-work
Civil penalty up to £60,000 per illegal worker; criminal penalty	https://www.gov.uk/penalties-for-employing-illegal-workers